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year ago, Hitendra Dave, 53, took over as the CEO of HSBC India, the largest foreign

bank in the country. The veteran banker, who earlier headed the Global Banking & Markets vertical in India of the UK-headquartered bank, is spearheading the lender's aggressive customer acquisition strategy. In an interaction with *Business Today's* Anand Adhikari, Dave, who has been a banker for over three decades, throws light on the current economic situation, HSBC's India strategy, and the way ahead. Excerpts from the conversation:

Q: Globally, central bankers are raising interest rates to check inflationary pressures. The US has also decided to wind down its balance sheet. What will be the spillover effect in emerging markets, especially India?

A: India will have a multi-pronged kind of effect because of the rate hikes globally. Some of that will be positive—not because of rate rises—but [because of] why the rates are being hiked. The rates are being hiked, especially in the US, where demand for goods and services has gone through the roof. Employment demand [the need for talent] has increased... [but] people wanting to work has reduced dramatically because of various factors. It has a positive and a negative. On balance, at best, if you want to be optimistic, it will be neutral. Let's start with the negative. In a world where interest rates were close to zero and the [US] Fed's balance sheet was \$9 trillion... for anybody who put up a business case... the discounting rate has become zero. Interest rates have the effect of making people estimate the present value of money for future promises. The one negative [now] could be that there is greater scrutiny on some of the future promises. Therefore, some investments that would have flown in earlier because rates were low, and therefore the present value was high, have become slightly more challenging. I'm talking about this new-age start-up kind of economy.

The second [impact] is in the financial markets, especially portfolio flows. Those who were borrowing money, leveraging money, hedge funds, etc.—to invest all around the world—would see their funding costs rise. They need to find more attractive valuations. For instance, we have already seen about \$25 billion of equity withdrawals in calendar [year] 2022 itself. Going forward, if the US stock markets fall quite a bit compared to the Indian markets, then the relative attraction also changes. Global investors would find a better opportunity to invest in American stocks. Your competitor now becomes the West because of valuations. Ultimately, money is global.

Q: The rupee has reached new all-time lows against the dollar. What is the outlook for the rupee given the global uncertainty and the outflow of dollars from the country?

A: India is doing reasonably well in the context of the global scenario... We also have inflation, but look at our inflation and its causes and sources. Let's look at its relativity to rates. The US has an inflation rate at 8 per cent against short-term rates of 0.75-1 per cent. Our inflation rate is around 7 per cent (retail inflation was 7.8 per cent in April) against the repo rate of 4.4 per cent. In FY22, India received gross FDI of almost \$83 billion, and a bulk of that has come not because interest rates were zero or lower [in other parts of the world], but because of the opportunity to make returns of high teens-plus. As long as that narrative remains, which is on the back of the explosion in the digital ecosystem, the superb infrastructure created by public authorities to help with payments, collections, lending decisions, KYC decisions, the great work being done by some of our start-ups, and even some of the old-economy companies... the trajectory is very positive.

Q: We have seen inflation because of higher commodity prices globally. Currency depreciation is another element that is making imports expensive. Is there a threat of imported inflation coming through the currency route in the near future?

A: The main commodity channel through which we import inflation is oil, which we all know about. There is very little we can do. The next is fertiliser, where at least the end user is subsidised. It's the government which absorbs the fertiliser subsidy. All the electronic products that we buy are imported, and all those things become more expensive. There is bound to be that [in-